ENHANCING LISTENING EXPERIENCE

Milestone- Product Requirements Document

Support revenue expansion by enhancing interaction to maximize time spent and listener engagement on Spotify.

Team: User Experience
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Status: Brainstorming
Launch Date: 5th February, 2025

Objective:

To support revenue expansion by enhancing user interaction, maximizing time spent, and increasing listener engagement on Spotify. This will be achieved by introducing Reward-Based Ad Skipping and Enhanced Regional Content for freemium users, allowing limited playback controls based on listening behaviour. This initiative aims to boost Time Spent Listening (TSL), improve ad-supported revenue, and drive user satisfaction.

Problem Statement

Current Issues:
Heavy free-tier listeners face repetitive ads, limited skips, lack of regional content, and insufficient exclusives. Premium upgrades fail to provide compelling features, leading to low conversion rates.
Gen Z users (ages 19-24), who spend over 2 hours daily on Spotify, feel restricted by repetitive recommendations and lack of personalized content. Advertisers seek higher engagement and targeted ad exposure.

Target Users:
Primary Users: Heavy Free Tier listeners (Gen Z, ages 19-24) who spend over 2 hours daily on Spotify.
Secondary Users: Advertisers who rely on Spotify's ad-supported model for audience reach.

What is the business value that will be unlocked by solving the problem?
Revenue Boost: Increased ad revenue and higher premium subscription conversion rates.
Improved Retention: Enhanced user experience fosters loyalty.
Competitive Edge: Addressing user pain points sets Spotify apart from competitors.

How will the target users benefit if the problem is solved?
Content Discovery - Users can explore diverse genres and artists more easily.
Personalized Experience - Content tailored to preferences improves engagement levels.
Reduces Listening Fatigue - Fresh recommendations minimize repetitive playlists.

Why is it urgent to solve this problem now?
India is among Spotify's top five markets for monthly active users (MAUs) but struggles with premium conversions. Addressing this gap is crucial for profitability in a high-cost licensing environment. timely improvements to discovery will help Spotify retain and grow its user base. Addressing the issue now will secure Spotify's position as the go-to app for diverse and engaging music discovery.

Value Proposition:
For Users: Increased satisfaction and engagement through better content discovery, personalized recommendations, and reduced ad frustration.
For Business: Higher TSL, better retention rates, increased ad revenue, and improved premium conversion rates.

Competitive Landscape

Spotify faces competition from platforms like Gaana, YouTube Music, Apple Music, Amazon Music, and Wynk.
Market Position: Spotify leads in music streams with personalized playlists but continues growing its share of India's 10-11 million subscribers.
Localized Offerings: Spotify stands out with regional language support (12 Indian languages) and curated playlists tailored for Indian audiences.
Differentiators: Spotify also invests in podcasts, positioning itself as a multi-format platform, which is gaining traction in India.

Goals

Develop strategies to improve compelling features to increase premium conversion rates and eventually maximize time spent and listener engagement on Spotify.

High Level Goals

1. Increase Average Revenue Per User (ARPU)
2. Improve Retention and Reduce Churn
3. Amplify Value Recognition Through Compelling Features

Measurable Metrics:

Importance of Metrics

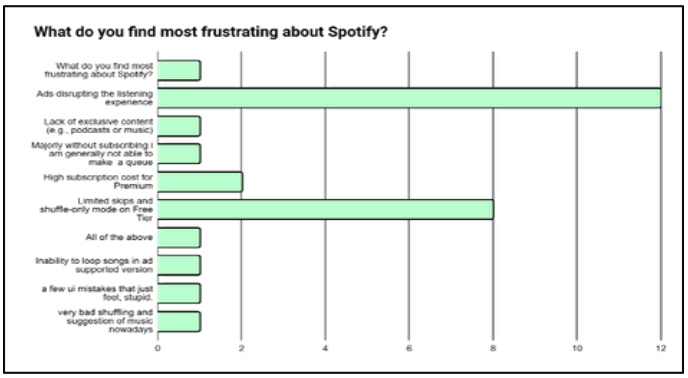
Align Goals Across Teams
Measure Progress and Identify Bottlenecks
Track Impact on Business Outcomes

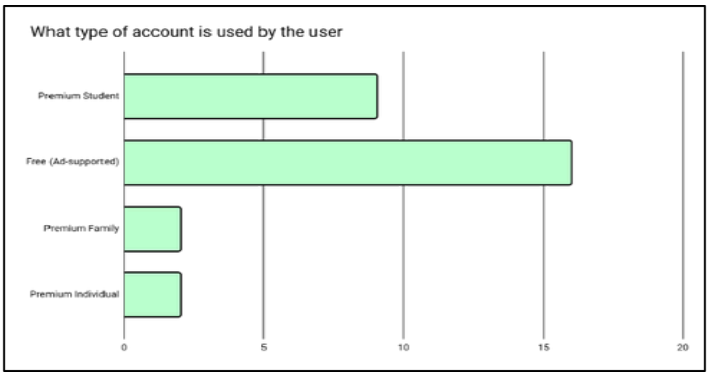
Non-Goals

Altering Spotify's pricing models or subscription plans, and addressing content licensing or copyright issues, are outside the scope of improving compelling features for user engagement. Customization options like changing app themes, colours, or UI layouts are not within the project's scope.

Validation of the Problem

Survey Results: 72.2% of users consider new features and personalized recommendations crucial for upgrading to premium. Repetitive ads and limited skips were top frustrations, as reported by 89.9% of users.
Interview Insights: 1:1 interview highlighted affordability concerns and the desire for better regional content.





Why this specific user base?

This group is characterized by financial stability and a lifestyle that supports premium subscriptions, making them more likely to explore paid features on Spotify. They exhibit high digital engagement and have an established listening habit, which makes them ideal for both music and other audio content like podcasts. Additionally, this demographic often serves as influencers for a broader audience, providing cross-content engagement that can help drive Spotify's reach and brand visibility.

Understanding the Target Audience
User Segment: Heavy Free Tier listeners who spend over 2 hours daily on the platform.

User Persona
Name: Rohini Sharma
Age: 22
Profession: Entry-level professional
Location: Delhi



Listening Habits:
Listens to music during commutes and work hours.
Finds premium subscriptions expensive and lacks regional music variety.
Pain Points:
Repetitive ads disrupt the listening flow.
Limited skips and shuffle-only mode.
Lack of personalized recommendations and regional content.

User Journey
Stages: Discovery → Engagement → Listening → Return Users
Touch Points and Pain Points:

Stages	Touch Points	Thoughts	Emotions	Pain Points
Discovery	Spotify search, recommendation feeds, social media	"What new music should I try?"	😊	Struggling to find relevant, new content
Engagement	Playlist pages, friend activity, curated lists	"Will I enjoy these suggestions?"	😕	Feeling limited by similar recommendations
Listening	Play screen, music controls	"I'm glad this matches my vibe."	😊	Occasional skips due to mismatched moods
Return Users	Notifications, emails, push recommendations	"What's new since I last opened the app?"	😕	Annoyance if recommendations feel repetitive

Proposed Solutions

Key Features:

Reward-Based Ad Skipping: Users can skip ads by completing actions such as watching video ads or engaging with interactive content.

Enhanced Regional Content and Personalization: Region-specific playlists, lyrics, and recommendations tailored to user preferences.

Limited Ad-Free Listening Periods: Users can earn short ad-free sessions after listening to three ads or logging in consecutively.

A "Credit" Section: Displays balances for ad-skipping rewards.

Tailored Regional Playlists: Improves personalization and user engagement.

Best Solution Chosen:

Reward-Based Ad Skipping and Enhanced Regional Content were selected as the primary solutions due to their high impact on user engagement and business value. These features directly address pain points by giving users control over ads while promoting regional content, leading to better satisfaction and retention.

Solution Prioritization (R

Solutions	Reach (R)	Impact (I)	Confidence (C)	Effort (E)	Score
Dynamic Playlists	8	9	8	6	96
Social Discovery Feed	7	7	7	8	42
AI-Generated Stories	6	8	6	9	32

Reach:

Dynamic Playback Control appeals directly to over 50% of surveyed users who are frustrated with limited playback controls. This feature is expected to reach many free-tier users, especially Android users aged 18-34. Playback customization is more appealing than reduced ads or offline downloads since all users engage with playlists and playback controls.

Score: High

Impact: Allowing users to skip ads and access regional content directly enhances satisfaction and increases TSL. Expected to drive a 10% increase in session duration, contributing to a significant increase in overall listening time.

Score: High

Confidence: Over 50% of surveyed users expressed frustration with limited playback. Over 60% of users value customizable playlists, indicating strong alignment with user expectations.

Score: High

Effort: Compared to reducing ads (which involves renegotiations) or offline downloads (with high storage and licensing costs), this solution requires relatively low effort. Modifications to the playback logic engine and UI/UX updates to display rewards and progress are required.

Score: Medium

Launch Readiness

Pre-Launch Preparation	Launch Readiness Checklist	Launch Day Execution	Post-Launch Activities
•**Market Research and Validation:**Conduct surveys and focus groups to validate feature interest. •**Product Development:** Develop UX/UI for intuitive playlist editing. •**Technical Feasibility:** Assess infrastructure for handling increased interactions. •**Internal Stakeholder Alignment:**Ensure cross-functional team alignment on launch expectations.	•**Product Quality Assurance:** Comprehensive testing and beta feedback incorporation. •**Marketing Strategy Development:** Multi-channel promotions and branding. •**Sales and Support Preparation:**Customer support training and documentation.	•**Monitoring Systems:** Real-time performance tracking. •**Engaging Early Users:** Community engagement through social media.	•**Feedback Collection:** Ongoing data analysis for usability. •**Iteration Based on Insights:**Refining based on user feedback and adoption trends.

Future Iterations

Enhanced AI and Machine Learning Integration:

AI Playlist Improvements: Advanced NLP to refine playlist customization.

Hyper-Personalized Playlists: Adaptive recommendations based on location, activity, and preferences.

Day-lists Feature Expansion: Automated playlist updates based on time and activity.

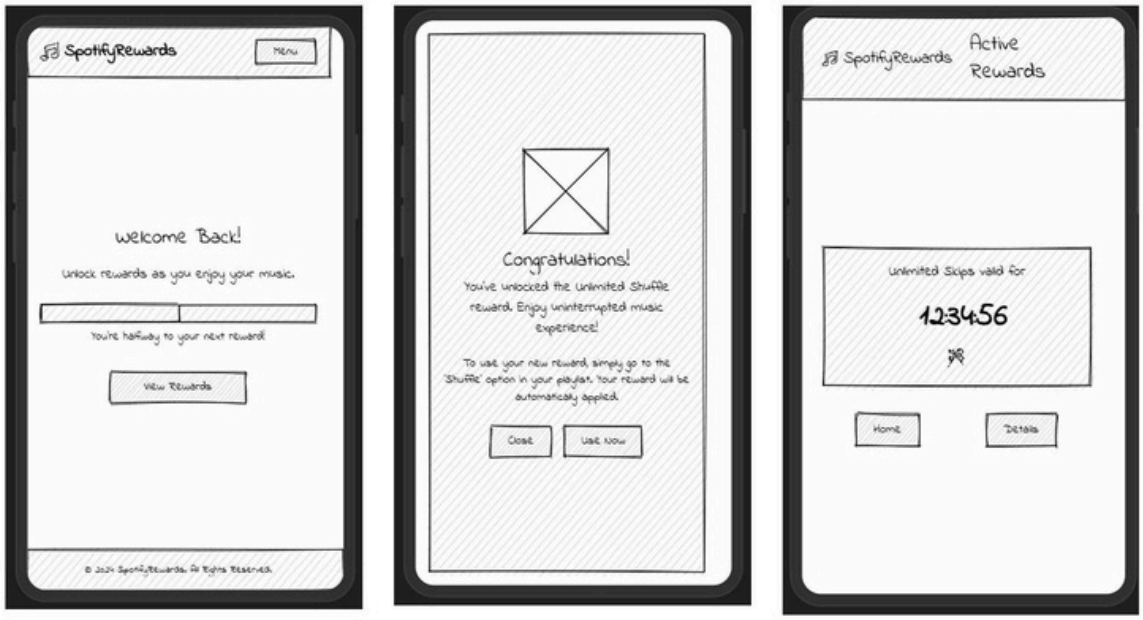
Community and Discovery Features:

Collaborative Playlists Enhancements: Multi-user playlist editing with real-time recommendations.

Enhanced Discovery Tools: Curated emerging artist playlists based on unique interactions.

User Feedback Integration: Dynamic recommendation refinement based on direct user inputs.

Wireframes



Risks & Mitigation Strategies

Risk	Description	Mitigation Strategy
Technical Feasibility Risks	System scalability challenges	Pre-launch prototyping and senior engineer evaluations
User Acceptance Risks	Low adoption rates	Beta testing and iterative UI improvements
Data Privacy Risks	Concerns about data handling	Compliance with GDPR and clear user controls
Algorithmic Bias Risks	Over-representation of certain genres	Regular bias audits and diverse data training

Experimentation Plan
•**Pilot Testing**: Test features with small user groups. •**A/B Testing**: Compare engagement metrics between control and test groups. •**Iterative Improvements**: Refine based on user feedback. •**Gradual Rollout**: Expand rollout gradually. •**Post-Launch Monitoring**: Track success metrics and optimize.
Technology Involved
•Credit Management System. •Ad Engagement Tracking. •Regional Content Curation Engine. •Ad-Skipping Mechanism. •Analytics and Insights.

Open Questions and Decisions Taken

Should credits expire after a certain period?

Decision: Credits expire after 30 days of inactivity to balance engagement and avoid frustration.

How will ad-skipping impact premium subscriptions?

Decision: Limit ad-skipping to occasional use to encourage premium upgrades.

Should regional content curation focus on language or genre preferences?

Decision: Focus on language preferences initially, with plans to expand to genres based on user feedback.